

23CMCV00796 23CMCV00796

County: los-angeles

Division: Civil Law and Motion

Department: A

Hearing date: 2026-07-02

Motion: NON-PARTY NEWTEK'S MOTION FOR ORDER RELEASING FUNDS

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Case Number: 23CMCV00796 Hearing Date: July 2, 2026 Dept: A

SUPERIOR COURT OF THE STATE OF CALIFORNIA

FOR THE COUNTY OF LOS ANGELES – SOUTH CENTRAL DISTRICT

CITY OF COMPTON,

Plaintiff,

vs.

MEHDI

JAVADIAGHDAM, et al.,

Defendants.

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CASE NO: 23CMCV00796

[TENTATIVE]

ORDER RE: NON-PARTY NEWTEK'S MOTION FOR ORDER RELEASING FUNDS

Dept.

A

DATE:

July 2, 2026

TIME:

8:30 A.M.

COMPLAINT

FILED: 06/01/2023

TRIAL:

11/10/2025

MOVING

PARTY: Non-Party Newtek Small
Business Finance LLC

RESPONDING

PARTY: Plaintiff City of Compton

1.

Background

This is a narcotics
abatement action. Plaintiff City of Compton ("City") alleges that defendant
Green House Cure operated an unlicensed marijuana dispensary business on the
property located at 2007 E. Compton Blvd., Compton, CA 90221 (the "Property"). City
alleges that defendants FS International, Inc. and Mehdi Javadiaghdam were at
all relevant times the owner of the Property.

On February 8, 2024, the
court appointed a receiver to take control of and operate the Property in order
to terminate the illegal business and repair and rehabilitate the Property.
John S. Rey ("Receiver") was appointed as receiver for the Property.

On September
10, 2025, Receiver moved for an order approving the sale of the Property for
\$950,000.00. The court granted Receiver's motion on October 8, 2025.

On April 23, 2026, the court granted Receiver's motion
for discharge and terminated the receivership.

2.

Requests
for Judicial Notice

Non-party

Newtek Small Business Finance LLC ("Newtek") requests that the court take
judicial notice of the deed of trust on the Property; the court's October 8,
2025 order approving Receiver's sale of the Property; the court's February 24,
2026 minute order; Receiver's final amended report filed on March 13, 2026 in
this action; the court's March 23, 2026 notice re: continuance of hearing; the
court's April 23, 2026 order granting Receiver's motion to be discharged; and

Receiver's notice of civil deposit filed on April 28, 2026 in this action.

Pursuant to California Evidence Code § 452, subd. (c), judicial notice may be taken of "[o]fficial acts of the legislative, executive, and judicial departments of the United States and of any state of the United States." Judicial notice may also be taken of the court's own records. (Evid. Code § 452, subd. (d).)

The court takes judicial notice of the requested documents.

3.

Discussion

Newtek moves for an order releasing the remaining funds from the sale of the Property to it. Newtek contends that it holds a deed of trust on the Property and that it is entitled to the remaining funds from the sale of the Property, as Receiver has been discharged and all prior liens have been discharged. Newtek contends that the court's February 24, 2026 order stated expressly that Newtek's lien would be paid following payment of Receiver's fees, and that Receiver's fees have been paid. In opposition, City contends that its attorney's fees and costs are a higher priority than Newtek's lien.

In the court's February 24, 2026 order, the court stated: "Once the court approves the Final Report, Receiver will be discharged and the remaining funds in the Deposit Account will be allocated in the following order: Receiver's fees, including his attorney fees and costs, followed by Newtek's lien." (02/24/26 Minute Order.) Notice of entry of judgment of the February 24, 2026 order was filed on June 4, 2026.

On April 23, 2026, the court terminated the receivership at Receiver's request. The court ordered that Receiver's fees be paid out of the proceeds from the sale of the Property, and that "[a]fter the Receiver pays all fees and costs of the Receivership Estate, as well as Receivership Certificate holder's priority claim, the Receiver is authorized to deposit the balance from the proceeds of the Sale of the Property with the Court until such time that the City's claims, or any other claims, against the Defendants in this matter are adjudicated." On April 28, 2026, Receiver deposited remaining funds from the sale of the Property to the court

in the amount of \$313,544.32.

City contends that its claims have not been fully adjudicated because its attorney's fees and costs are outstanding. However, judgment has already been entered on City's claims in this action. Its claims have therefore been fully adjudicated, irrespective of City's outstanding request for attorney's fees and costs.

Under *County of Sonoma v. Quail* (2020) 56 Cal.App.5th 657 (Sonoma), City's costs and fees do not receive super-priority status over other lienholders. (Id. at pp. 687-688.) City contends that Sonoma is inapposite because fees and costs in that action were sought pursuant to Health and Safety Code § 17980.7, subd. (d)(1), while in this action the fees and costs are sought pursuant to Health and Safety Code § 17980.7, subd. (c)(11). However, in Sonoma, the court cited to both subdivisions (d)(1) and (c)(11) in finding that the city's fees and costs did not take super-priority status over other lienholders. Sonoma is therefore applicable.

Based on the Deed of Trust provided as exhibit A to Newtek's request for judicial notice, Newtek's lien on the Property exceeds the funds deposited with the court from the sale of the Property after payment of Receiver's fees and prior liens. Under the court's April 23, 2026 and February 24, 2026 orders, Newtek is therefore entitled to release of the \$313,544.32 deposited with the court after sale of the Property.

4.

Conclusion

Based on the foregoing, the court GRANTS Non-Party Newtek Small Business Finance LLC's motion for release of funds.

Newtek is ordered to give notice.

IT IS SO ORDERED.

DATED: July 2, 2026

Hon. Elizabeth L. Bradley

Judge of the Superior Court